



 Casella Vineyard Irrigation
Yenda, New South Wales, Australia

Environmental Management

Management Approach

As a leading global provider of environmental consulting services, Stantec embraces our responsibility to reduce our own environmental footprint. We work hard to minimize the impact of our operations, conserve resources on corporate programs and client projects, and incorporate environmentally friendly practices to engage and motivate employees.

In 2019, Stantec

- Operated under an ISO 14001:2015-certified environmental management system
- Committed to the [UK Civil Engineers Declare Climate Change and Biodiversity Emergency](#), [Waste to Wealth](#), and [Blue Green Declaration](#) (Newcastle)

- Expanded our reach and efforts supporting the data collection requirements of the [American Institute of Architects 2030 Challenge](#)
- Introduced the Envision sustainability rating framework to Italy and certified the Naples-Bari rail line as the [first Envision project in Europe](#), receiving Platinum rating (the highest level available)
- Progressed our Green Meeting strategy by making the ESG Materiality Assessment workshop and Innovation Forum carbon-neutral, eco-friendly events
- Began review of our project-connected environmental work practices for 2020 enhancements

Italy's Road to a Plastic Free Office

The European Union is cracking down on plastic pollution. In preparation for a new regulation that will restrict single-use plastic products, Stantec Italy's Green Team implemented a program to improve waste management behaviors within the office and began working with vendors to further impact the supply chain. For its efforts, Stantec Italy has been recognized by the local [La Repubblica newspaper](#) as a pioneering company.

 [Learn more](#)



Reducing Emissions

Management Approach

Stantec has measured, managed, and analyzed our carbon footprint since 2010. We follow the Climate Registry Protocol, covering greenhouse gas emissions and energy use for various activities.

By 2028, Stantec has committed to reducing Scope 1 and 2 emissions per employee by 40% (against a 2013 baseline) and Scope 3 by 20% (against a 2018 baseline).

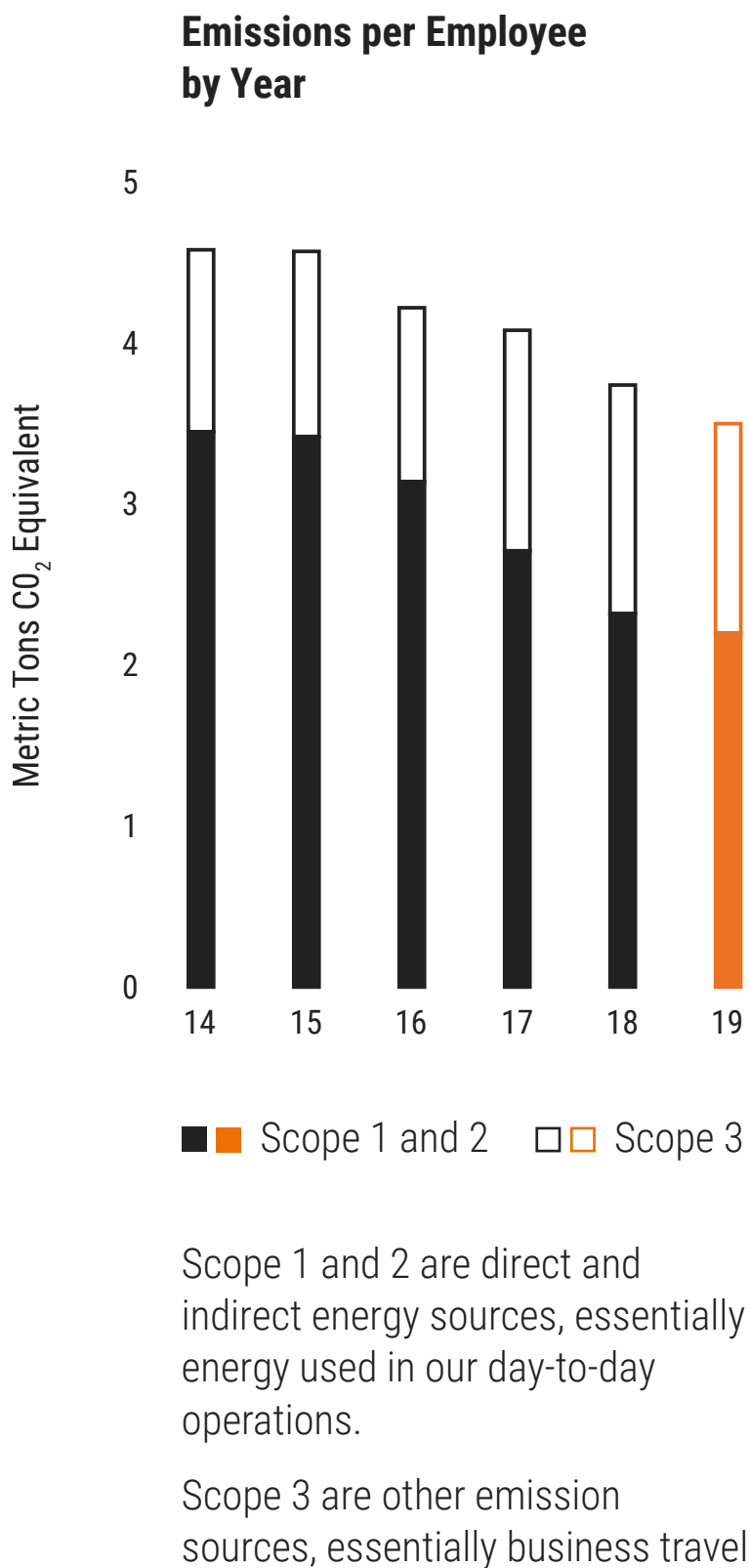
In 2019, Stantec

- Reduced Scope 1 and 2 emissions per employee by 4% from 2018 and by 39% against the 2013 baseline
- Reduced Scope 3 emissions per employee by 4% from 2018 (the baseline)

Concurrent with previous years, reasons for the results include

- Reducing per-employee direct and indirect emissions, mainly by combining offices into more energy-efficient buildings
- Reducing per-employee travel by regularly assessing whether we need to travel and increased the use of virtual collaboration
- Improving activity data collection, thereby improving overall accuracy and consistency, as well as reducing the need to extrapolate

Stantec has aligned our current reduction commitments with cost-cutting strategies. Our longer-term aspirations of becoming carbon neutral will incorporate renewable energy and technological advancements, supplemented by renewable energy credits and carbon offsets.



Resource Conservation

Management Approach

Stantec conserves resources in our operations, bringing direct environmental benefits, increased efficiencies, and reduced costs.

In 2019, Stantec

- Completed roll out of a print management program to US operations, which encourages reduced paper use (35% to 45% reductions on average), mandates centralized paper purchases (of post-consumer recycled paper), and outsources print device management (minimizing the number of print devices needed and ensuring proper e-disposal)
- Established low-waste programs in Italy, the Netherlands, and the United Kingdom
- Challenged team members to eliminate single-use plastics through Green Team-led initiatives in Italy, the Netherlands, the United Kingdom, Chile, and Peru
- Continued to see benefits of the Smart Working program in Italy, resulting in 4,000 hours of reduced employee commuting (about 500 working days), EUR25,000 of reduced employee costs (about one annual net salary in Italy), and approximately 54 mtCO₂ of avoided emissions

- Replaced 33 vehicles in Canada and the United States to modernize the fleet with the latest in safety design and to reduce maintenance and repair expenses, including trucks with ratings of up to 30 highway miles per gallon (12.8 kilometres per litre)
- Added electric vehicles to the fleet and provided free electric car charging to employees in the Netherlands
- Continued to implement emissions caps on vehicle purchases in the Netherlands and the United Kingdom
- Introduced additional sustainably sourced, eco-friendly items to our internal Company store (for Company and personal purchase of branded items), including metal straws and water bottles (to reduce disposables) and locally sourced socks (where two pairs are donated to a community center for every pair of socks purchased)
- Eliminated promotional waste at the UK Graduate Recruitment Fair, where the giveaways budget was instead donated to Mind, a mental health charity
- Recycled 5,007 computers and 2,557 cellphones in Canada and the United States (83,262 pounds [37,767 kilograms] of equipment¹)

¹ Outside of North America cellphones are managed at a country level and not centrally tracked and computers are leased through Dell where, at the end of their lease period, the program includes return for responsible disposal.



 Tekeze Hydroelectric Project
Tekeze Gorge, Amhara and Tigray, Ethiopia

Managed Topics

These are the GRI topics of importance being watched and closely managed. These topics are covered in our public disclosures because they align with strategic objectives and are important to our stakeholders.

GRI Standards and Disclosures		Direct Answers, Public Report References, or Reasons for Omissions	SASB or TCFD (if applicable)								
Environmental											
GRI 302: Energy											
103-1 103-2 103-3	Material topic, management approach, evaluation	Energy consumption occurs across the value chain but we track energy use only for Stantec operations. Downstream, a significant portion of our design services support energy efficiency and renewable energy projects for our clients, which represents the area of greatest positive impact of our operations. Within our operations, office energy use and fuel consumption associated with business travel contribute a large portion of our direct environmental impact and carbon footprint. We manage, monitor, and improve energy performance with a formal ISO 14001:2015-certified environmental management system (EMS) as described in the referenced documents. We measure our success through continued reductions in per-employee energy use. Management Approaches: Environmental Management and Resource Conservation.									
302-1	Organization's energy consumption	Stantec's energy consumption follows (in gigajoules [GJ] and megawatt hours [MWh]). SR, Environmental Stewardship > Resource Conservation. CDP Disclosure. <table> <tr> <td></td><td>2019</td><td>2018</td><td>2017</td></tr> <tr> <td>Scope 1 and 2</td><td>575,121 GJ (159,756 MWh)</td><td>594,264 GJ (165,073 MWh)</td><td>577,792 GJ (160,498 MWh)</td></tr> </table>		2019	2018	2017	Scope 1 and 2	575,121 GJ (159,756 MWh)	594,264 GJ (165,073 MWh)	577,792 GJ (160,498 MWh)	
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302-2	Energy consumption outside the organization	Stantec works with clients to reduce their energy use in the projects we design and as a stand-alone consulting offering. Although we do not track downstream energy consumption, we do influence clients to reduce their energy use. SR, Sustainability at Stantec > Sustainable Development Goals.	SASB IF-EN-410a.2								
302-3	Energy intensity	Energy consumption normalized by employee follows. CDP Disclosure. <table> <tr> <td></td><td>2019</td><td>2018</td><td>2017</td></tr> <tr> <td>Scope 1 and 2 per Employee</td><td>27.41 GJ (7.61 MWh)</td><td>28.3 GJ (7.9 MWh)</td><td>29.3 GJ (8.14 MWh)</td></tr> </table>		2019	2018	2017	Scope 1 and 2 per Employee	27.41 GJ (7.61 MWh)	28.3 GJ (7.9 MWh)	29.3 GJ (8.14 MWh)	
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302-4	Reductions in energy consumption	SR, Environmental Stewardship > Emissions and Environmental Stewardship > Resource Conservation. CDP Disclosure.									

GRI Standards and Disclosures		Direct Answers, Public Report References, or Reasons for Omissions	SASB or TCFD (if applicable)																
302-5	Reductions in energy requirements of products and services	SR, GRI Content Index 302-2.																	
GRI 305: Emissions																			
103-1 103-2 103-3	Material topic, management approach, evaluation	As noted in 302, Stantec does not have operational control of our energy use, limiting our ability to influence our emissions. Even so, we have actively tracked our emissions since 2010. We work with our landlords to promote energy efficiency and with our employees to minimize business travel. We measure our success through continued reductions in per-employee emissions. Management Approaches: <u>Environmental Management</u> and <u>Emissions Management</u>.																	
305-1 305-2 305-3	GHG emissions: Direct (Scope 1), energy indirect (Scope 2), and other indirect (Scope 3)	Stantec's absolute emissions follow (presented in metric tons of CO₂ equivalent [mtCO₂e]). SR, Environmental Stewardship > Emissions. CDP Disclosure. <table border="1"> <thead> <tr> <th></th><th>2019</th><th>2018</th><th>2017</th></tr> </thead> <tbody> <tr> <td>Scope 1</td><td>7,540 mtCO₂e</td><td>10,333 mtCO₂e</td><td>9,585 mtCO₂e</td></tr> <tr> <td>Scope 2</td><td>40,726 mtCO₂e</td><td>37,810 mtCO₂e</td><td>43,228 mtCO₂e</td></tr> <tr> <td>Scope 3</td><td>29,301 mtCO₂e</td><td>29,318 mtCO₂e</td><td>26,800 mtCO₂e</td></tr> </tbody> </table> Notes: - In 2019, in order to provide better year-over-year consistency, Stantec made a slight modification to how we report natural gas usage between Scope 1 and 2. Previously, in Scope 1, we reported natural gas for owned offices as well as landlord-controlled offices where we paid the utility bills directly. In Scope 2, we reported landlord-controlled offices where we were billed the energy usage through the landlord. However, the landlord-controlled invoice payment could change year-to-year, producing arbitrary variability in whether the same natural gas usage fell to Scope 1 versus Scope 2. This year, we began reporting only owned office natural gas usage in Scope 1 (there is only one owned office that uses natural gas) and all landlord-controlled natural gas usage in Scope 2. - In 2019, Stantec temporarily gained operational control of a UK waste-to-energy plant that was designed and constructed by a joint venture with a divested construction entity (divested at the end of 2018). This plant has been sold and is no longer overseen by Stantec. This temporary situation is not reflected in our reported emissions numbers.		2019	2018	2017	Scope 1	7,540 mtCO ₂ e	10,333 mtCO ₂ e	9,585 mtCO ₂ e	Scope 2	40,726 mtCO ₂ e	37,810 mtCO ₂ e	43,228 mtCO ₂ e	Scope 3	29,301 mtCO ₂ e	29,318 mtCO ₂ e	26,800 mtCO ₂ e	TCFD: Metrics and Targets
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GRI Standards and Disclosures		Direct Answers, Public Report References, or Reasons for Omissions	SASB or TCFD (if applicable)				
305-5	Reduction of GHG emissions	Reductions of normalized emissions against baseline follow. SR, Environmental Stewardship > Emissions and Environmental Stewardship > Resource Conservation. CDP Disclosure. <table border="1"><tr><td>Scope 1 and 2 per Employee</td><td>Scope 3 per Employee</td></tr><tr><td>39% reduction, 2013 baseline</td><td>4% reduction, 2018 baseline</td></tr></table>	Scope 1 and 2 per Employee	Scope 3 per Employee	39% reduction, 2013 baseline	4% reduction, 2018 baseline	
Scope 1 and 2 per Employee	Scope 3 per Employee						
39% reduction, 2013 baseline	4% reduction, 2018 baseline						
305-6, 305-7	Other Emissions	Because Stantec operates in offices, only greenhouse gases (GHGs) are measured. Ozone-depleting substances (ODS), nitrogen oxides (NOx), sulfur oxides (SOx), hazardous air pollutants, and particulate matter are not applicable and are therefore omitted.					
GRI 307: Environmental Compliance							
103-1 103-2 103-3	Material topic, management approach, evaluation	As a significant provider of environmental services, it is important for Stantec to manage our own environmental impact. Our policies, ISO 14001-certified environmental management system, and project management framework guide us as we operate our business and execute projects. We evaluate the effectiveness of our approach to ensure environmental compliance through internal and third-party audits and by monitoring any issues of noncompliance (see 307-1). Management Approach: <u>Environmental Management</u> .	SASB IF-EN-160a.2				
307-1	Environmental laws noncompliance	None.	SASB IF-EN160a.1				

GRI Standards and Disclosures		Direct Answers, Public Report References, or Reasons for Omissions	SASB or TCFD (if applicable)
GRI 411: Rights of Indigenous Peoples			
103-1 103-2 103-3	Material topic, management approach, evaluation	Stantec addressed this topic in a manner slightly different than intended by GRI. Even though our physical operations do not have a direct impact on Indigenous Peoples and communities, we prioritize the importance of respectful interactions with Indigenous communities in recognition of our commitment to inclusion and diversity as well as our desire to be good neighbors. This commitment to positive interactions with Indigenous Peoples began shortly after Stantec's founding in 1954, when our project work expanded from Edmonton, Alberta to northern Canada, and success was dependent on respectful Indigenous connections. Since then, building and maintaining positive relationships with Indigenous Peoples has been a Company tenet. Stantec builds and maintains sustainable relationships and strong partnerships with Indigenous Peoples and communities by recognizing, supporting, and respecting the diversity and distinctiveness of the Indigenous cultures of our employees, our Indigenous partners, our Indigenous clients, and the Indigenous businesses we work with. Stantec has an Indigenous Relations Program and 11 Indigenous Business Partnerships that work with our project teams so that our client work protects the rights of Indigenous Peoples. The current focus of our formal program is Canada, the United States, and Australia with the intention to continue expansion to other countries where we operate. We judge the effectiveness of our Indigenous Relations program by the positive feedback received from leaders and community members. The success of our Indigenous Partnerships is measured by revenue generation, which provides direct investments to Indigenous communities and supports economic growth. Management Approach: <u>Indigenous Connections</u>.	SASB IF-EN-160a.2
411-1	Incidents of violations involving the rights of Indigenous Peoples	To the best of our knowledge, no violations have occurred as a result of Stantec's work with Indigenous Peoples. SR, Social Betterment > Indigenous Connections.	